Global music recording and distribution businesses

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Major companies

- The global music industry is dominated by three very large companies
- Together, they make more than **65% of global recorded music sales**

Universal Music Group	Sony Music Entertainment	Warner Music Group
• **Universal is the biggest music company in the world** • In 2023, it made about **32%** of all music sales globally • Head office is in **Amsterdam** • Owns famous labels like Interscope, Capitol, Republic and Def Jam • Artists include Taylor Swift, Drake, BTS,	• It 2023, Sony Music Engtertainment made up about **21%** of global music sales • Based in **New York** • Owns Columbia, RCA and Epic • Artists include Beyoncé, Adele, and Harry Styles	• It 2023, Warner Music Group made around **13%** of global music sales • Based in **New York** • Owns Atlantic, Warner Records and Parlophone • Artists include Ed Sheeran, Dua Lipa, and Cardi B

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Help me understand

- These three companies work with most of the world's biggest artists and control many of the rights to their music
- This gives them significant power when it comes to selling, promoting and licensing songs

Standardisation versus localisation

- Globalisation means music can now be shared and enjoyed all over the world more easily

Standardisation

- Lots of hit songs sound similar around the world, especially in pop music
- English is still the main language used in global hits
- Many companies use the same type of marketing and promotion in every country

Localisation

- Local music styles like **K-pop (Korean pop)**, **Afrobeats (West Africa)** and **Latin reggaeton** have become popular around the world
- Music companies are now signing local artists and making content that fits different cultures
  - For example, Universal has started **Def Jam Africa** and **Virgin Music Latin America** to support local talent
  - In India, Sony Music produces music in different local languages and styles

Digital distribution networks and partnerships

- Most music is now shared and sold online using digital platforms.

Streaming services

- **Spotify** is the biggest music streaming app, with over **515 million users** in 2023
- Other popular ones include Apple Music, Amazon Music, and Deezer
- Music companies let these platforms use their music and then get a share of the money (around **50–55%** of what the platform earns)
- Artists are paid **about $0.003 to $0.005 per stream**

YouTube

- Over **2 billion people** use YouTube every month
- Many fans discover new songs through YouTube videos

TikTok

- Increasingly important for making songs go viral
- Songs that become popular in short videos can become global hits
- Music companies work with TikTok to promote new artists and trends

New platforms

- Games like **Roblox** and **Fortnite** are used for virtual concerts
- Companies like UMG and WMG create **interactive events**, where fans can join in online
- This helps connect with young fans in new ways

Revenue streams

- Music companies now make money in **many different ways**, not just by selling CDs or downloads

Streaming royalties

- This is the **biggest source of income**—about **67%** of all recorded music revenue in 2023 (around **$18.8 billion**)
- It comes from paid subscriptions and adverts on services like Spotify

Licensing agreements

- Music is used in **TV, films, video games, adverts** and **social media**
- Music companies sell the rights to use their songs (this is called **sync licensing**)
  - These deals can be worth thousands or even millions of dollars, depending on the artist and where the song is used
  - They can launch the careers of new artists as well as revive the careers of established artists
  - **Kate Bush's "Running Up That Hill"**, originally released in 1985, prominently featured in the fourth season of the popular Netflix sci-fi series **Stranger Things**. It entered the US Billboard Hot 100 at No. 8 in 2022

Merchandise

businesses
  - **Beyoncé**'s 2023 Renaissance tour merchandise made over $30 million alone

Other income sources

- **Vinyl records and CDs** remain popular in some countries like the UK, Japan and Germany
  - In 2023, vinyl sales reached $1.2 billion, the highest in 40 years
- Some companies are also trying new ideas like **NFTs**, which are digital collectables, and **virtual concerts** in the 'metaverse'
  - These new tools help companies earn money in the future and connect with younger fans

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